What does Liquidity do?

Availability of Capital in the Market

Liquidity ensures capital availability in the market. Availability of cheap and abundant capital ensures demand for stocks and as result, increase the in the market value.

Cost of Capital

Cost of capital refers to the interest rate that must be paid to borrow money. The cost of capital is low if the interest rates to borrow money in the market are low.

> **What is the market's overall valuation at the moment?**
>
> **Can companies raise more money with less dilution?**

Liquidity allows companies to raise more money. They can do this at a cheaper cost of capital too and therefore more money gets invested in the market.

March 2020 - COVID 19

Widespread fear amongst people led to a decline in the market prices as negative sentiments were inbuilt in the market and the price.

However, after a few months, the long term fear surrounding COVID subsided and people learned to manage things better. Aa a result, sentiments started to improve.

War Scare

As countries enter war, a lot of negative sentiments prevail in the market due to which the market prices of stocks fall.